

buy. To assume that the bull market is to end this spring is to assume that many of the ablest financiers in the country are going to be left with large lines of new stocks on their hands. Somebody will undoubtedly be left with more stocks than are wanted, but the fact that bankers and syndicates are still willing to take the new stocks of industrial enterprises is evidence that they believe the tide of public interest in securities to be flowing with unabated force.

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There is always a disposition in people's minds to think that existing conditions will be permanent. When the market is down and dull, it is hard to make people believe that this is the prelude to a period of activity and advance. When prices are up and the country is prosperous, it is always said that while preceding booms have not lasted, there are circumstances connected with this one which make it unlike its predecessors and give assurance of permanency.

The one fact pertaining to all conditions is that they will change. This change follows modifications of the law of supply and demand. The cycle of trade is well known. Beginning with a period of depression, the small dealer finds himself unable to buy the amount of goods required for hand-to-mouth trading quite as cheaply as when the previous purchase was made. He, therefore, buys a little more. The aggregate of this buying increases the business of the jobber, and this swells the output of the manufacturer, who is enabled to employ more labor, resulting in larger purchases by labor of manufactured goods and agricultural products, which brings the circle round to the producer.

At each step in the proceedings, rising prices bring increased purchases and increased confidence, until the retailer buys without hesitation many times the amount of